



attracts the support of a larger company. Working with another business can give you fresh ideas and expand your experience. You should also build excellent relationships with suppliers to enable you to work together to support each other's business long term.

Forming alliances

The Internet and social media have made it easier to find potential partners, but be sure to discuss your plans in detail before you commit to a collaboration. Explain to any prospective business partner what you want to gain from the relationship, and weigh up what is expected in return – it is vital to agree on shared outcomes. While you do not need to create a legally



NEED TO KNOW

- › **Horizontal alliances** occur between businesses that are in the same industry, and who may have been competitors, but have decided to work together.
- › **Vertical alliances** are partnerships between businesses at different stages in the same supply chain; working with a supplier is a common example.

binding contract, a clear, written agreement will help to avoid any misunderstandings and will underline the strategic objective you both aim to achieve.



SUPPLIERS

Strong supplier relationships are critical for the long-term success of your business, but it may be prudent to have more than one supplier if your company is dependent on a single item. Examples of ways in which suppliers can impact a small business include the quality of goods and services; the timeliness/reliability of deliveries; competitiveness and innovation; and financial implications/payment terms. Here are some simple ways to ensure mutually beneficial supplier relationships:

DO ...

- › **Develop personal relationships**, as suppliers value familiar customers and are more likely to deal fairly with those that they know and trust.
- › **Share information** with a supplier, particularly on critical lead times (and that way you will avoid surprises).
- › **Agree and stick to all terms**, and especially those regarding payments.

DON'T ...

- › **Cancel orders** without plenty of notice, and do so only when unavoidable.
- › **Forget your supplier** is also in business and therefore needs to fulfill their own objectives and make a profit.
- › **Play one supplier off** against another to secure an advantage, as both may eventually cease to trade with you.